TCI Express

Q3FY22 Result Update | Logistics

Aggressive Vision: 2x Turnover and 4x PAT over 4 to 5 years

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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TCI Express Q3FY22 results were in line with our expectations

- Revenue increased by 9.3% YoY to Rs 2869mn (+5% QoQ). Revenue was mainly driven by SME customers. Q3FY22 recorded highest ever quarterly run rate.
- Volume growth
- EBIDTA improved by 4.1% YoY to Rs471.8mn (+4.2% QoQ)
- EBIDTA Margins stood at 16.4% as against 17.27% YoY and 16.5% QoQ . Capacity utilization stood at 85% v/s 85.5% in Q2FY22.
- PAT stood at Rs 351mn up by 4.5% YoY (QoQ +3.17%)

Other Details

- Operating Expense as % to Revenue stood at 68% v/s 67.7% YoY (68.1% QOQ)
- Employee Benefits expenses increased by 19.3% YoY to Rs 277.3mn on a QoQ basis it was flat.
- Other Exps as % to Revenue 5.9% v/s 6.2% YoY and (5.4% QoQ)
- Interim Dividend declared Rs 3/- (9M Rs 6)

Outlook:

- TCI express is confident of achieving +35% growth in FY22, 9MFY22 growth was 38.8% (on lower base)
- Margins outlook maintained at ~17% for Q4FY22 as well, with the endeavor to improve margins by 100bps every year.
- 1st B2B express company in India to install conveyer belt for heavy cargo (in Gurgoan) which will help reducing the halting time by 40%

Financial Summary

Y/E Mar (I	FY20	FY21	FY22E	FY23E	FY24E
Net sales	10,320	8,440	11,051	13,040	14,996
EBIDTA	1,213	1,343	1,775	2,190	2,533
Margins	11.8	15.9	16.1	16.8	16.9
PAT (adj)	891	1,006	1,311	1,609	1,862
growth (%)	22.3	12.9	30.3	22.7	15.7
EPS	23.2	26.2	34.1	41.8	48.4
P/E (x)	81.1	72.0	55.3	45.1	38.9
P/B (x)	21.4	16.7	13.5	10.9	8.9
EV/EBITDA	59.1	53.2	40.3	32.5	27.9
RoE (%)	26.4	23.2	24.3	24.1	22.8
ROCE (%)	33.4	28.8	31.1	31.0	29.2

Source: Dalal and Broacha

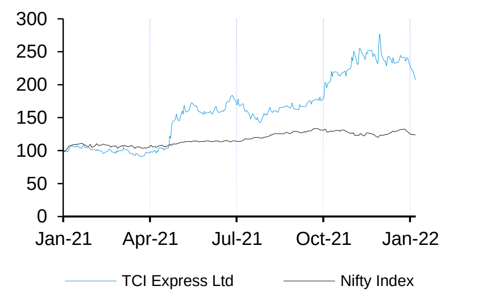
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	**1,936**	**3**

Market data

Current price	**Rs**	**1,884**
Market Cap (Rs.Bn)	(Rs Bn)	73
Market Cap (US$ Mn)	(US$ Mn)	969
Face Value	Rs	2
52 Weeks High/Low	Rs	2572 / 807
Average Daily Volume	('000)	33
BSE Code		540212
Bloomberg		TCIEXP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	66.70	66.70
Public	33.30	33.30
Total	**100**	**100**

Source: BSE

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Conference Call Highlights

- **Industry:** E-Way bill generation registered strong MoM pick-up in October 2021, November was weak (declining to 5 month low) however December picked-up.
- Demand was across key customers as well as SME's supported by Festive season
- 5 new branches added in Q3FY22 mainly in south and north region. 35 branches were added in 9MFY22.
- Capacity utilization stood at 85% v/s 85.5% in Q2FY22 and 83% in Q3FY22
- **Volumes:** Q3FY22 volumes stood at 2.3 lac tones v/s 2.15 YoY and 2.2 lac tons in Q2FY22 || 9MFY22 volume 6.3lac tons v/s 4.6 lac tons YoY

Network expansion from FY17 to FY21:

- 32k locations to 40k
- Branch offices from 500 to 800+ (will add another 100 in FY22)
- Sorting centres 26 to 28
- Customer count 1.6lacs to 2.0lacs

Update on new services launched

- Contributed 12% to Q3FY22 revenue aim to reach 25% of revenue
- **RAIL Express service (launched in Q2FY22)** is time definite, assured delivery at assured time business, that will substitute air-cargo (cost ~1/3rd of air freight) || 60 cities reached plan to reach 120 cities|| . Response from customers is positive.
- **Pharma Cold Chain Express:** new value added services launched
- **C2C Express:** contributed ~4% to revenue. Did Rs 500mn in FY21 on pilot basis, expect to do ~ Rs 1bn in FY22.

Capex:

- Capex incurred YTD as on FY22 is Rs 650mn
- Capex FY22 and FY23 would be Rs 1bn each. (which will complete the 1st Rs 4bn capex planned in 4-5 years)

Dividend:

- 2nd interim dividend of Rs 3/- declared
- 9MFY22 dividend Rs 6/-

Warehouse Highlights

- Gurgoan 2 lac sqft sorting centre will start in Feb 2022. TCI Express will be the first B2B express delivery company in India to install Conveyor Belt system for heavy cargo This will help in reducing truck halting time by around 40%, which will improve overall operational efficiency.

- Pune sorting centre fully operational since June 2021 and is helping to improve the turnaround time in the region. It is 1.5lac sqft with total capex of ~Rs 400mn. The automation process after being tested in Gurgoan will also be implemented in Pune
- Current 28 sorting centers with 1.2mn sqft is expected to reach ~ 2.5mn sqft post the entire capex spend.
- Plans to expand in Chennai, Nagpur, Kolkatta, Mumbai
- Owned warehouse as on date 10, on lease 18 and total 28. || Plan to reach 15 owned in the next 3 years.

Quarterly Financials

Rs MNS	Q2FY22	Q3FY21	Growth	Q2FY22	Growth
Sales	**2869.2**	**2625.0**	***9.3***	**2734.4**	***4.93***
Other income	20.7	16.6	*24.7*	23.6	*(12.29)*
Total Revenue:	**2889.9**	**2641.6**	***9.4***	**2758**	***4.78***
Expenses:-					
Operating Expenses	1951.4	1776.0	*9.9*	1861.2	*4.85*
% to Operating Income	**68.0%**	**67.7%**		**68.1%**	
Employee benefift expenses	277.3	232.5	*19.3*	273.7	*1.32*
% to Operating Income	**9.7%**	**8.9%**		**10.0%**	
Other expenses	168.70	163.10	*3.4*	146.90	*14.84*
% to Operating Income	**5.9%**	**6.2%**		**5.4%**	
Total Expenses	2,397.40	2,171.60	*10.4*	2,281.80	*5.07*
EBITDA (exc OI)	**471.80**	**453.40**	***4.1***	**452.60**	***4.24***
EBITDA Margin %	**16.44%**	**17.27%**		**16.55%**	
EBITDA	492.50	470.00	*4.8*	476.20	*3.42*
Depreciation	22.30	21.70	*2.8*	23.60	*(5.51)*
Interest	1.9	1.6	*18.8*	3.0	*(36.67)*
PBT	**468.30**	**446.70**	***4.8***	**449.60**	***4.16***
PBT %	**16.32%**	**17.02%**		**16.44%**	
Tax expenses	117.10	110.60	*5.9*	109.20	*7.23*
Tax Rate	*25.0%*	*24.8%*		*24.3%*	
PAT	**351.20**	**336.10**	*4.5*	**340.40**	*3.17*
Adjusted PAT	**351.20**	**336.10**	***4.5***	**340.40**	***3.17***
NPM	**12.15%**	**12.72%**		**12.34%**	
Equity	77	76.9	*0.1*	76.9	*0.13*
EPS	**9.12**	**8.74**	***4.4***	**8.85**	***3.04***

Valuation & Outlook

TCI Express's USP lies in in its strong network coverage, of 40000 locations serviced by 5000 containerized trucks, 825+ branches and 28 sorting centers.

TCI express market share *(in terms of value of goods carried*) has reached 7% from 5% at end of FY21. Going forward logistics industry is expected to reach $1tn by 2030 from current levels of $360bn, out of this 70% would be road-transport i.e. $700bn of which TCI Express aims to capture 15-20%.

TCI Express one of the fastest growing multimodal company and the recently launched 'PM Gati Shakti National Master Plan' for multimodal infra connectivity opens up a very big-opportunity for a player like TCI Express.

Between FY17 to FY21 topline has been growing at a CAGR of 3% topline (FY21, lower due to pandemic, however FY17 to FY20 it was 11%), 21% on EBIDTA and 24% on PBT with a strong cashflow on account of its asset light model.

The company's ROE and ROCE for 9MFY22 stands at 25%+ and 30%+. It is now debt free with cash and cash equivalents of Rs ~900mn.

The management is confident of doubling the topline in next 4 to 5 years generate 4x PBT aided by launching new value added services which translates in to 15% CAGR on topline and 30% on PBT

We rollover our estimates to FY24e earnings. At CMP of Rs 1884 TCI express trades at 45x FY23e EPS of Rs 41.8 and 39x FY24e EPS of Rs 48.4. We maintain **Buy on Dips** with a target price of Rs 1936.

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	10,237.9	10,319.6	8,439.9	11,050.5	13,039.6	14,995.5
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,526.9)	(8,740.7)	(10,051.8)
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,092.2)	(1,310.7)	(1,507.3)
Other Expenses	(655.7)	(747.0)	(556.0)	(656.7)	(797.9)	(903.7)
Operating Profit	**1,189.9**	**1,213.0**	**1,343.2**	**1,774.7**	**2,190.4**	**2,532.8**
Depreciation	(65.3)	(77.9)	(89.7)	(95.2)	(117.2)	(139.2)
PBIT	1,124.6	1,135.1	1,253.5	1,679.5	2,073.2	2,393.6
Other income	31.9	43.7	76.5	81.4	88.3	105.9
Interest	(37.8)	(9.0)	(7.8)	(9.0)	(11.6)	(11.6)
PBT	1,118.7	1,169.8	1,322.2	1,751.9	2,149.8	2,487.9
Exceptionals	-	-	-	-	-	-
Profit before tax (post exceptional)	1,118.7	1,169.8	1,322.2	1,751.9	2,149.8	2,487.9
Provision for tax	(390.3)	(279.0)	(316.2)	(441.0)	(541.1)	(626.2)
Reported PAT	**728.4**	**890.8**	**1,006.0**	**1,310.9**	**1,608.7**	**1,861.7**
MI	-	-	-	-	-	-
Net Profit	**728.4**	**890.8**	**1,006.0**	**1,310.9**	**1,608.7**	**1,861.7**
Adjusted Profit (excl Exc	728.4	890.8	1,006.0	1,310.9	1,608.7	1,861.7

Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	728.4	890.8	1,006.0	1,310.9	1,608.7	1,861.7
Add: Dep. & Amort.	65.3	77.9	89.7	95.2	117.2	139.2
Cash profits	**793.7**	**968.7**	**1,095.7**	**1,406.1**	**1,725.9**	**2,000.9**
(Inc)/Dec in						
-Sundry debtors	(87.6)	(26.3)	(36.9)	(424.7)	(381.5)	(375.1)
-Inventories	-	-	-	-	-	-
-Loans/advances	(26.9)	(23.7)	(22.8)	(12.5)	(20.8)	(23.1)
'-Current Liab and Provisions	46.8	(104.3)	151.8	77.2	40.9	156.1
Change in working capital	(67.7)	(154.3)	92.1	(359.9)	(361.4)	(242.2)
CF from Oper. activities	**726.0**	**814.4**	**1,187.8**	**1,046.2**	**1,364.5**	**1,758.7**
CF from Inv. activities	**(252.7)**	**(598.6)**	**(1,005.1)**	**(626.4)**	**(818.3)**	**(820.1)**
CF from Fin. activities	**(424.0)**	**(260.9)**	**(36.5)**	**(266.0)**	**(317.0)**	**(372.3)**
Cash generated/(utilised)	**49.3**	**(45.1)**	**146.2**	**153.8**	**229.1**	**566.2**
Cash at start of the year	121.8	171.1	126.0	272.2	426.0	655.1
Cash at end of the year	171.1	126.0	272.2	426.0	655.1	1,221.4
	-	-	-	-	-	-

Balance Sheet	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	76.6	76.7	76.9	77.0	77.0	77.0
Reserves	2,595.3	3,296.1	4,261.8	5,310.6	6,597.5	8,086.9
Net worth	**2,671.9**	**3,372.8**	**4,338.7**	**5,387.6**	**6,674.5**	**8,163.9**
MI	-	-	-	-	-	-
Non Current Liabilites	78.0	61.5	65.0	61.1	65.8	65.8
Current Liabilites	1,039.8	881.0	1,032.9	1,110.1	1,151.0	1,307.1
CAPITAL EMPLOYED	**3,789.7**	**4,315.3**	**5,436.6**	**6,558.8**	**7,891.3**	**9,536.7**
Non Current Assets	1,859.0	2,093.8	2,708.0	3,439.2	4,140.3	4,821.3
Fixed Assets	1,744.3	1,965.3	2,561.3	3,267.2	3,951.1	4,613.2
Goodwill	-	-	-	-	-	-
Non Current Investments	114.7	128.5	146.7	172.0	189.2	208.1
Deferred Tax Asset	-	-	-	-	-	-
Long Term Loans and Advances	-	-	-	-	-	-
Current Assets	1,930.7	2,221.5	2,728.6	3,119.6	3,751.0	4,715.5
Current investments	-	285.9	587.1	387.1	387.1	387.1
Inventories	-	-	-	-	-	-
Trade Receivables	1,631.4	1,657.7	1,694.6	2,119.3	2,500.7	2,875.9
Cash and Bank Balances	171.1	126.0	272.2	426.0	655.1	1,221.4
Short Term Loans and Advances	85.1	91.9	99.8	104.8	117.4	131.4
Other Current Assets	43.1	60.0	74.9	82.4	90.6	99.7
CAPITAL DEPLOYED	**3,789.7**	**4,315.3**	**5,436.6**	**6,558.8**	**7,891.3**	**9,536.7**

Ratios	FY19E	FY20	FY21	FY22E	FY23E	FY24E
OPM	11.6	11.8	15.9	16.1	16.8	16.9
NPM	7.1	8.6	11.8	11.8	12.3	12.3
Tax rate	(34.9)	(23.9)	(23.9)	(25.2)	(25.2)	(25.2)
Growth Ratios (%)						
Net Sales	15.7	0.8	(18.2)	30.9	18.0	15.0
Operating Profit	31.3	1.9	10.7	32.1	23.4	15.6
PBIT	31.6	0.9	10.4	34.0	23.4	15.5
PAT	24.7	22.3	12.9	30.3	22.7	15.7
Per Share (Rs.)						
Net Earnings (EPS)	19.0	23.2	26.16	34.05	41.78	48.36
Cash Earnings (CPS)	20.7	25.3	28.5	36.5	44.8	52.0
Dividend	2.9	4.6	4.0	6.8	8.4	9.7
Book Value	69.8	87.9	112.8	139.9	173.4	212.0
Free Cash Flow	12.4	5.6	4.8	10.9	14.2	24.4
Valuation Ratios						
P/E(x)	**99.0**	**81.1**	**72.0**	**55.3**	**45.1**	**38.9**
P/B(x)	27.0	21.4	16.7	13.5	10.9	8.9
EV/EBIDTA(x)	60.4	59.1	53.2	40.3	32.5	27.9
Div. Yield(%)	0.2	0.2	0.2	0.4	0.4	0.5
FCF Yield(%)	**0.7**	**0.3**	**0.3**	**0.6**	**0.8**	**1.3**
Return Ratios (%)						
RONW	27%	26%	23%	24%	24%	23%
ROCE	41%	33%	29%	31%	31%	29%
Net D/E	0.0	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

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